The public policy process plays out not just through employees but through everyone, as coercive steps by the state induce changed behaviour by the people, which feeds back into the working of the state, and so on. This further increases the complexity of decision making. Policy decisions have to take into account the internal behaviour of large complex government organizations, and then the responses of the general public which in India's case is above a billion people. This is a scale of complexity which is just not found in private firms.

Government has to prize rules over deals

In a private firm, there is ample room for discretion. The idea is to make many tactical decisions— 'a hustle here and a hustle there'—that add up to profit.

As an organization becomes larger and more complex, there is greater use of formal rules. In a ten-man firm, every decision is tactical. By the time we get to a 1000-man firm, there will be an HR policy that will shape and constrain HR actions. If a firm has three franchisees, each of the three contracts can be negotiated separately. But if a firm has a thousand franchisees, there will be a policy framework that determines a few standardized contracts that are applied in all settings.

In government, this evolution towards rules is carried forward to an extreme extent. Given the unique features of government, it is pragmatic to work through policy frameworks and not tactical actions. We establish sound general frameworks, and work within them for a long time. We avoid transaction-specific decisions, even when we see a particular situation where the general policy is yielding the wrong answer.

In addition, Article 14 of the Constitution of India requires the Indian state to treat identically placed persons identically. There is no such constraint upon private firms. Private firms can make deals, but states need rules.